

THE DYNAMICS OF India's fashion business are shifting and social media is assisting young consumers not only in metros but also Tier II cities in discovering new brands. Designers are realising that couture is no longer enough; they need to expand their customer base by offering more accessible price points, extensive distribution, and a wider range of products, something they cannot do on their own. And that's where the funding and expertise of the corporate houses comes in.

"While Indian fashion is fabulous with its understanding of craftsmanship, positioning, marketing, etc., what it lacks is a scientific approach to supply chain, the kind of sourcing and manufacturing strategy we need to have, etc.—things that are important to scale up," says Shantanu Mehra, CEO and Co-founder of Shantanu & Nikhil. The joint venture with ABFRL resulted in them launching their bridge-to-luxury brand S&N, which opened its first store in Delhi in April 2020. Over the past year, it has opened nine more stores in Delhi-NCR, Mumbai, Bengaluru, Ahmedabad and Raipur.

The plan is to open another four S&N outlets this year and then 10 more next year. Besides that, the designer duo have six Shantanu & Nikhil stores selling couture. Currently, 30 per cent of their revenue comes from S&N, which going forward will go up to 50 per cent. "It has scale written all over it," says Shantanu. The pandemic taught them that they could go direct-to-consumers as well through e-commerce. "We set up a vertical which was more digital. The technology and supply chain support that we got from ABFRL helped us fasten the process," says Shantanu.

But why are ABFRL and RBL interested in Indian designers? It's because for years they have had brands specialising in western wear. ABFRL owns and markets brands such as Louis Philippe, Van Heusen and Allen Solly. And RBL, which is part of Reliance Industries Limited (RIL), has partnered with more than 60 global brands including Burberry, Coach, Jimmy Choo, Diesel, and Michael Kors, among others. "Men's western wear has been their focus for the last 35 years since when the ready-made garment industry started, but now they need a foot in the Indian ethnic wear market," says Harminder Sahni, Founder and Managing Director of Wazir Advisors, who has advised several design houses on such deals. According to Mumbai-based brokerage Edelweiss, the ethnic wear market in India is pegged at

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Shantanu Mehra (right),
CEO AND CO-FOUNDER,
SHANTANU & NIKHIL
(FINESSE INTERNATIONAL
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\$20 billion, of which 70 per cent is unorganised.

Sahni says that the retail conglomerates have two choices: they can either create their own brand, which may take long, or enter into a partnership with an existing brand. "Unlike the men's western wear market, there are various Indian ethnic wear designers who have a great brand and are talented," he says. Moreover, these brands are not very expensive, so it makes sense to enter into a partnership with them or acquire them. "Most design houses are not very large. Most are below ₹100 crore so it made sense for the corporates to buy them. It was an inexpensive option to get into the Indian ethnic and women's wear market," explains Sahni.

